Solution Data Integrity Question – Veg (30 marks)

1. Trade receivables ageing listing

The trade receivables ageing listing total of £1,815,083 does not agree to the trade receivables ledger control account balance of £1,778,533 at 30 June 20X3 (**1 mark**). The translation of the Euro (€) balances has been performed at an exchange of 1.1 to the £, (**1 mark**) instead of the month-end exchange rate of 1.15 (**1 mark**) . The difference between the trade receivables ageing listing and the control account may be due to the financial accountant using the incorrect rate (**1 mark**) in the monthly translation process. (**1 mark**)

2. Pumpkin Distributors

The ageing summary shows EUR113,332 in the 0–30 day ageing category while the open invoice listing shows there are no invoices raised in June 20X3 (**1 mark**). This may be due to cut-off of the ageing report (**1 mark**) as the invoice was raised on 20 May 20X3. (**1 mark**)

There appears to be an error in the system with the balance of 99,123€ being flagged to a false supplier. (**1 mark**) The error balance of (99,123)€ does not appear on the bank reconciliation (**1 mark**) and matches the Pumpkin Distributor balance for over 91 days and has a similar account code. (**1 mark**) It would appear that a payment made was incorrectly coded resulting in an invalid error account as it does not represent a genuine account payable. (**1 mark**)

3. Potato Traders

There is a delivery note for a shipment made on 27 June 20X3 to the customer which appears to not be recorded in the trade receivables as at 30 June 20X3. (**1 mark**) This assumption is because this customer has no balance (**1 mark**) in the 0-30 day category. (**1 mark**)

Potato Traders also received a shipment of tomatoes that failed the quality test for which a credit was agreed. (**1 mark**) The credit note has not yet been captured in the trade receivable ledger (**1 mark**) making the receivables listing overstated and therefore the data is not valid. (**1 mark**)

4. Fresh Farm Produce

The overall balance is £nil, however there is a credit balance of £344,821 in 0-30 days (**1 mark**) which nets off with the debit balances in 30-60 days and 60-90 days. (**1 mark**) This may be indicative of incorrect matching (**1 mark**) of customer receipts against open invoices. (**1 mark**)

5. Silky Smoothies

The bank reconciliation shows an unallocated receipt of £133,590 from Silky Smoothies. (**1 mark**) The unallocated receipt is close to the £133,595 shown in the 0-30 day category. (**1 mark**) The balance is shown as outstanding (**1 mark**) and the related ageing is therefore likely incorrect. (**1 mark**)

6. Glasgow Veggies

The trade receivables' circularisation letter for Glasgow Veggies shows a receivable of £585,332 which is more than the balance in the trade accounts ledger of £471,624. (**1 mark**) This may be indicative of unrecorded invoices or credit notes issued but not recorded by Glasgow Veggies, such as invoice 12927 which looks to have been omitted (**1 mark**) so the data is incomplete. (**1 mark**)

7. Conclusion

There are a number of issues noted above that highlight the data is not accurate, complete and valid and therefore the auditor should not rely on this data for the substantive analytical review. **(1 mark)**

Total marks available (30 marks)